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California governor proposes tapping reserves and cutting some spending to close nearly $38B deficit

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Author: By ADAM BEAM, Associated Press | Section: Business | 784 Words
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SACRAMENTO, Calif. (AP) — California Gov. Gavin Newsom is announcing a $291 billion state spending plan with an estimated $37.9 billion deficit.

That’s a significantly lower budget hole than the Legislative Analyst’s Office predicted in December. It estimated the state would face a $68 billion deficit.

That difference is likely due in part to a rebounding stock market.

The proposal Newsom is laying out Wednesday outlines how he wants to spend taxpayer dollars and other state money for the fiscal year starting July 1. He’ll spend the next six months hashing out a final plan with the Legislature, also controlled by Democrats.

The governor is proposing to draw $13 billion from the state’s reserves to cover some of the deficit.

He’s also proposing $8.5 billion in spending cuts. Nearly $3 billion of that would come from climate programs and another $1.2 billion from housing programs.

The nation's most populous state is weathering a revenue downturn that could have major consequences for 5.8 million public school children.

Unlike the federal government, California law says the state must pass a balanced budget — meaning it can't spend more money than it has. Newsom and lawmakers were able to avoid major spending cuts last year through a combination of making smaller cuts, borrowing and pushing some expenses to future years. But as the deficit continues to grow, Newsom and lawmakers could be forced to make tough choices to balance the budget.

Those decisions will be particularly fraught given this year's election, when many lawmakers will ask voters to keep them in Sacramento. Every decision Newsom makes, meanwhile, will be viewed through the lens of his future political ambitions. The Democratic governor's term goes through 2026, and he could run for president in 2028.

The deficit could mean bad news for the state's public schools. Cuts to schools are hard to avoid during a downturn because a voter-approved law requires the state to spend about 40% of its budget on public education in most years. During the Great Recession, public schools weathered deep cuts, leading to layoffs and school closures that many districts are still recovering from.

The minimum amount California is required to spend on public schools has dropped by $16.7 billion over the past two years, according to the Legislative Analyst’s Office. That means lawmakers could cut public schools by that much to help balance the budget.

It's also a particularly precarious moment for public schools. Billions of dollars of federal coronavirus aid will be expiring in September, and districts that have come to rely on that spending will have to find ways to replace that money in their budgets.

In Los Angeles, the nation's second-largest school district has begun to wean itself off of pandemic funding. But its budget still relies on about $900 million — down from $1.8 billion last year — which helps pay for 1,800 full-time jobs, according to Alberto Carvalho, superintendent of the Los Angeles Unified School District.

Carvalho said cuts to schools “could be quite catastrophic,” noting that many of the state's districts signed new contracts with labor unions in the last year that include pay raises reflecting inflation. California’s public school funding usually receives a cost-of-living adjustment each year. Last year, it amounted to an increase of more than 8%. This year, it could be less than 2%, according to the Legislative Analyst’s Office.

“That is significant,” he said.

But Carvalho and other school officials and education advocates say they are optimistic that lawmakers will avoid dramatic cuts for public schools this year. New Assembly Speaker Robert Rivas, who is presiding over his first budget negotiations, said last month he was committed to protecting classroom funding.

“With a $68 billion problem, there’s going to be some kind of cuts. It would be foolish to think otherwise,” said Kevin Gordon, a lobbyist who represents school districts. “I actually think they are going to do everything they can to find ways to protect school funding.”

Lawmakers now have resources they didn't have during the Great Recession. In 2014, voters approved a special savings account for public schools. Newsom and lawmakers could cut schools’ budgets and use $7.7 billion from that savings account to replace that spending, according to the Legislative Analyst's Office.

That would help avoid the most dramatic cuts. For more savings, lawmakers could cut one-time spending — money set aside in previous budgets that has not yet been spent.

Democrats hope that things will be much more manageable by May — once Californians have filed their tax returns and state officials have a better idea of how much money they have.

“We know we’re going to have to make difficult choices," said Assemblymember Jesse Gabriel, a Democrat from Los Angeles and chair of the Assembly Budget Committee. “We just don’t know how difficult they’re going to be yet.”

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